Illustrative Group

Consolidated income statement for the year ended 31 December 2025

USD thousands

	2025
Revenue	22,124
Cost of sales	(13,048)
Gross profit	**9,076**
Operating expenses	(4,922)
Operating profit	**4,154**
Interest expense	(373)
Profit before tax	**3,781**
Income tax expense	(853)
Profit for the year	**2,929**
Attributable to owners of the parent	2,835
Attributable to non-controlling interests	94

Unrealised profit is eliminated in full against the seller (Sub One, 100% owned), so it has no NCI effect.

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Consolidated balance sheet at 31 December 2025

USD thousands

	2025
Goodwill	500
Property, plant and equipment	10,444
Total non-current assets	**10,944**
Inventory	2,690
Trade receivables	3,756
Intercompany receivable (eliminated)	-
Cash	2,232
Total current assets	**8,678**
Total assets	**19,622**
Share capital	5,000
Retained earnings	5,763
Translation reserve	(25)
Equity attributable to owners of the parent	**10,738**
Non-controlling interests	400
Total equity	**11,138**
Borrowings	5,648
Trade payables	2,836
Intercompany payable (eliminated)	-
Total liabilities	**8,484**
Total equity and liabilities	**19,622**
Check: assets less equity and liabilities	-

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Consolidation worksheet (debit +, credit -)

USD thousands

Code	Account	PARENT (USD)	SUB1 (USD)	SUB2 (USD)	Aggregate	Eliminations	Consolidated
1000	Cash	1,200	600	432	2,232	-	**2,232**
1100	Trade receivables	2,100	900	756	3,756	-	**3,756**
1150	Intercompany receivable	540	150	-	690	(690)	**-**
1200	Inventory	1,500	700	540	2,740	(50)	**2,690**
1500	Property, plant and equipment	6,000	2,500	1,944	10,444	-	**10,444**
1600	Investment in subsidiaries	3,580	-	-	3,580	(3,580)	**-**
1700	Goodwill	-	-	-	-	500	**500**
2000	Trade payables	(1,700)	(650)	(486)	(2,836)	-	**(2,836)**
2150	Intercompany payable	(150)	-	(540)	(690)	690	**-**
2500	Borrowings	(4,000)	(1,000)	(648)	(5,648)	-	**(5,648)**
3000	Share capital	(5,000)	(1,000)	(1,100)	(7,100)	2,100	**(5,000)**
3100	Retained earnings (opening)	(2,300)	(1,460)	(460)	(4,220)	1,292	**(2,928)**
3200	Translation reserve	-	-	31	31	(6)	**25**
3300	Non-controlling interests	-	-	-	-	(306)	**(306)**
4000	Revenue	(14,000)	(4,200)	(3,924)	(22,124)	-	**(22,124)**
4050	Intercompany revenue	-	(800)	-	(800)	800	**-**
5000	Cost of sales	7,600	3,000	2,398	12,998	50	**13,048**
5050	Intercompany purchases	800	-	-	800	(800)	**-**
6000	Operating expenses	3,100	950	872	4,922	-	**4,922**
7000	Interest expense	280	60	33	373	-	**373**
8000	Income tax expense	450	250	153	853	-	**853**
	Check (should be zero)	**-**	**-**	**-**	**-**	**-**	**-**

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Consolidation adjustments (debit +, credit -)

USD thousands

#	Description	Code	Account	Amount
1	Investment in Subsidiary One (US)	3000	Share capital	1,000
1	Investment in Subsidiary One (US)	3100	Retained earnings (opening)	1,200
1	Investment in Subsidiary One (US)	1700	Goodwill	500
1	Investment in Subsidiary One (US)	1600	Investment in subsidiaries	(2,700)
1	Investment in Subsidiary One (US)	3300	Non-controlling interests	-
2	Investment in Subsidiary Two (Germany)	3000	Share capital	1,100
2	Investment in Subsidiary Two (Germany)	3100	Retained earnings (opening)	-
2	Investment in Subsidiary Two (Germany)	1700	Goodwill	-
2	Investment in Subsidiary Two (Germany)	1600	Investment in subsidiaries	(880)
2	Investment in Subsidiary Two (Germany)	3300	Non-controlling interests	(220)
3	NCI share of Subsidiary Two (Germany) post-acquisition reserves	3100	Retained earnings (opening)	92
3	NCI share of Subsidiary Two (Germany) post-acquisition reserves	3300	Non-controlling interests	(92)
3	NCI share of Subsidiary Two (Germany) post-acquisition reserves	3200	Translation reserve	(6)
3	NCI share of Subsidiary Two (Germany) post-acquisition reserves	3300	Non-controlling interests	6
4	Intercompany balance: Parent owes Sub One for goods bought	2150	Intercompany payable	150
4	Intercompany balance: Parent owes Sub One for goods bought	1150	Intercompany receivable	(150)
5	Intercompany balance: Loan from Parent to Sub Two (EUR 500)	2150	Intercompany payable	540
5	Intercompany balance: Loan from Parent to Sub Two (EUR 500)	1150	Intercompany receivable	(540)
6	Intercompany sale: Goods sold by Sub One to Parent	4050	Intercompany revenue	800
6	Intercompany sale: Goods sold by Sub One to Parent	5050	Intercompany purchases	(800)
7	Unrealised profit in inventory: Parent still holds 200 of goods from Sub One	5000	Cost of sales	50
7	Unrealised profit in inventory: Parent still holds 200 of goods from Sub One	1200	Inventory	(50)
			Total (should be zero)	**-**

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Translation into USD

USD thousands

Code	Account	PARENT local	PARENT rate	PARENT USD	SUB1 local	SUB1 rate	SUB1 USD	SUB2 local	SUB2 rate	SUB2 USD
1000	Cash	1,200	1.0000	1,200	600	1.0000	600	400	1.0800	432
1100	Trade receivables	2,100	1.0000	2,100	900	1.0000	900	700	1.0800	756
1150	Intercompany receivable	540	1.0000	540	150	1.0000	150	-	1.0800	-
1200	Inventory	1,500	1.0000	1,500	700	1.0000	700	500	1.0800	540
1500	Property, plant and equipment	6,000	1.0000	6,000	2,500	1.0000	2,500	1,800	1.0800	1,944
1600	Investment in subsidiaries	3,580	1.0000	3,580	-	1.0000	-	-	1.0800	-
2000	Trade payables	(1,700)	1.0000	(1,700)	(650)	1.0000	(650)	(450)	1.0800	(486)
2150	Intercompany payable	(150)	1.0000	(150)	-	1.0000	-	(500)	1.0800	(540)
2500	Borrowings	(4,000)	1.0000	(4,000)	(1,000)	1.0000	(1,000)	(600)	1.0800	(648)
3000	Share capital	(5,000)	1.0000	(5,000)	(1,000)	1.0000	(1,000)	(1,000)	1.1000	(1,100)
3100	Retained earnings (opening)	(2,300)	1.0000	(2,300)	(1,460)	1.0000	(1,460)	(420)	1.0952	(460)
4000	Revenue	(14,000)	1.0000	(14,000)	(4,200)	1.0000	(4,200)	(3,600)	1.0900	(3,924)
4050	Intercompany revenue	-	1.0000	-	(800)	1.0000	(800)	-	1.0900	-
5000	Cost of sales	7,600	1.0000	7,600	3,000	1.0000	3,000	2,200	1.0900	2,398
5050	Intercompany purchases	800	1.0000	800	-	1.0000	-	-	1.0900	-
6000	Operating expenses	3,100	1.0000	3,100	950	1.0000	950	800	1.0900	872
7000	Interest expense	280	1.0000	280	60	1.0000	60	30	1.0900	33
8000	Income tax expense	450	1.0000	450	250	1.0000	250	140	1.0900	153
3200	Translation reserve			**-**			**-**			**31**

Assets and liabilities at closing rate, income and expenses at average rate, share capital at historical rate, opening retained earnings at the USD amount carried forward. The translation reserve balances the translated trial balance.

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Entity trial balances in local currency (debit +, credit -)

thousands of local currency

Code	Account	Type	PARENT (USD)	SUB1 (USD)	SUB2 (EUR)
1000	Cash	A	1,200	600	400
1100	Trade receivables	A	2,100	900	700
1150	Intercompany receivable	A	540	150	-
1200	Inventory	A	1,500	700	500
1500	Property, plant and equipment	A	6,000	2,500	1,800
1600	Investment in subsidiaries	A	3,580	-	-
2000	Trade payables	L	(1,700)	(650)	(450)
2150	Intercompany payable	L	(150)	-	(500)
2500	Borrowings	L	(4,000)	(1,000)	(600)
3000	Share capital	E	(5,000)	(1,000)	(1,000)
3100	Retained earnings (opening)	E	(2,300)	(1,460)	(420)
4000	Revenue	I	(14,000)	(4,200)	(3,600)
4050	Intercompany revenue	I	-	(800)	-
5000	Cost of sales	X	7,600	3,000	2,200
5050	Intercompany purchases	X	800	-	-
6000	Operating expenses	X	3,100	950	800
7000	Interest expense	X	280	60	30
8000	Income tax expense	X	450	250	140
	Check (should be zero)		**-**	**-**	**-**

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Group structure, exchange rates and intercompany data

USD thousands

Entity	Name	Currency	Ownership	Investment cost	Pre-acq. retained earnings	Opening RE (USD)
PARENT	Parent Co.	USD	100%	-	-	
SUB1	Subsidiary One (US)	USD	100%	2,700	1,200	
SUB2	Subsidiary Two (Germany)	EUR	80%	880	-	460

Currency	Closing	Average	Historical
USD	1.0000	1.0000	1.0000
EUR	1.0800	1.0900	1.1000

Type	Description	From	To	Amount (USD)
balance	Parent owes Sub One for goods bought	SUB1	PARENT	150
balance	Loan from Parent to Sub Two (EUR 500)	PARENT	SUB2	540
sale	Goods sold by Sub One to Parent	SUB1	PARENT	800
unrealised_p	Parent still holds 200 of goods from Sub One; Sub One m	SUB1	PARENT	50

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Checks (all should be zero)
USD thousands

Entity trial balances balance	-
Elimination journal balances	-
Consolidation worksheet balances	-
Intercompany receivables and payables fully eliminated	-
Intercompany sales and purchases fully eliminated	-
Balance sheet balances	-

All checks pass?	**OK**